

Four Signals Cut to Neutral

What a research model is doing when it stops being sure, and what that leaves you free to do today.

THE READING

The S&P 500 closed at 7,619.98, down 0.48%, and 36.98 points below the 7,656 line at which dealer hedging stops dampening moves and starts amplifying them. Inside that half-percent index day the Philadelphia semiconductor index fell 5.86% and communication services rose 2.19% — four hundred basis points between the best and worst sector.

The ten-year touched 5.012%, the first five-handle of this cycle, and settled 4.998%. The VIX rose 7.95% to 17.11. And Hedgeye cut four TREND signals to neutral in a single night — Nasdaq Composite, natural gas, gold, copper — and upgraded none. Its Signal Strength list fell from 61 names to 46. What the tape is expressing is not fear. It is the withdrawal of conviction.

WHAT WISDOM WOULD SAY

Montaigne had a medal struck bearing a motto: *Que sais-je?* — What do I know? It belongs to the Apology for Raymond Sebond, the longest of the Essays, and it is a question rather than a slogan. He was not claiming that nothing can be known. He was recording how often his own settled judgements had moved under him, and concluding that where a matter is genuinely unsettled the honest response is to suspend rather than to pick.

Neutral is that suspension written as a position. It is easy to read a downgrade from bullish as a polite way of turning bearish; the mind wants a signal to keep pointing somewhere. Four cuts and no upgrades has the shape of a direction. It is not one. A model that goes neutral on gold while gold sits at 22.7% of its band, and neutral on copper while copper sits at 8.8% of its band, is not forecasting the next move — it is declining to. The information in the change is that the prior confidence has gone, not that it has reversed.

THE RISK IT JUSTIFIES

Take neutral at face value. That argues against adding index exposure below 7,656 into a Fed decision on Wednesday and quadruple witching on Friday, with dealers positioned to amplify whatever arrives. It argues against treating a 5.86% fall in semiconductors as a dip worth buying in a sector whose signal has just been withdrawn — a neutral rating gives you nothing to lean on. It argues equally against selling gold or copper because the rating changed, since nothing was said about the next move either.

What it permits is holding what you already own at the size you already own it, which is itself a decision, and writing down this morning what would restore conviction. What would change the answer: the Nasdaq holding 705 through Wednesday, or VIX closing above 22.14 — the first restores the signal, the second retires it.

When your conviction leaves, what do you put in its place?